

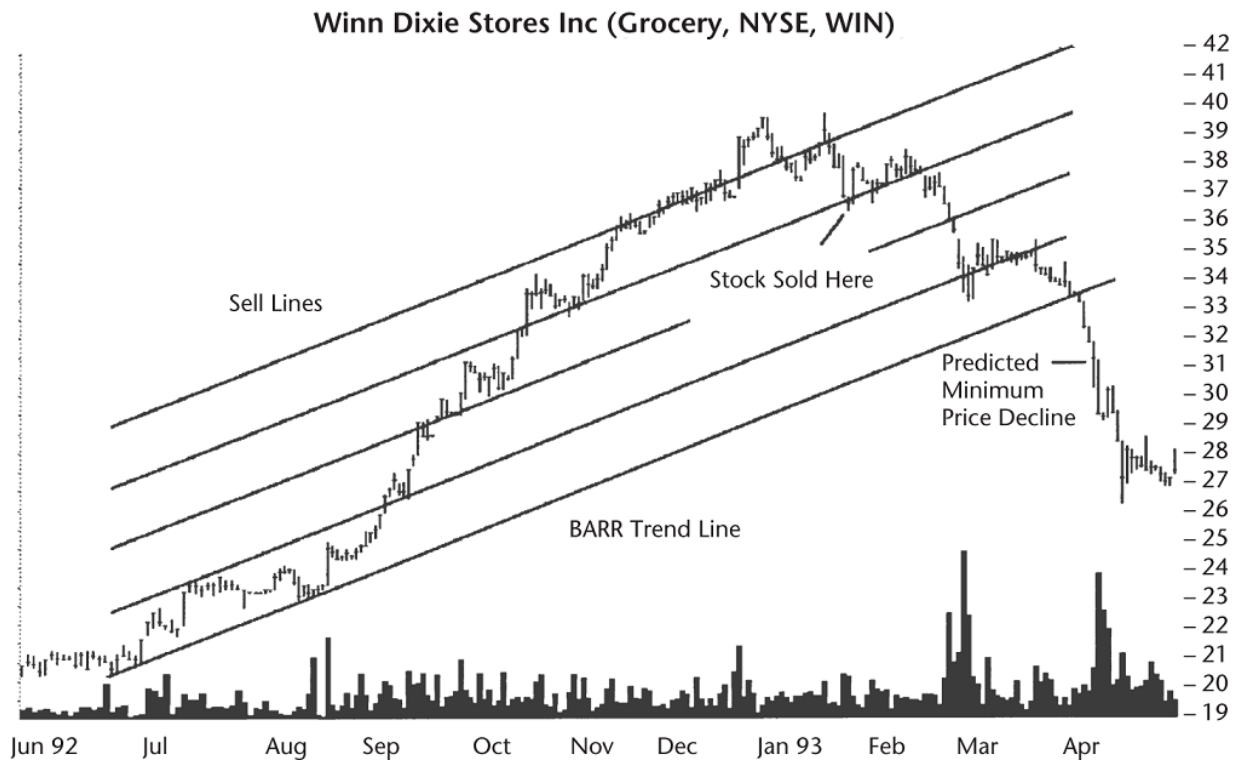


Figure 15.6 As described in the Sample Trade, Jenny raised her sell price as the stock climbed. Eventually, she sold the stock the day after it pierced a lower sell line.

Jenny printed out the price chart and examined the BARR in detail. She drew the trendline along the bottom, divided the length of it into four equal parts, and computed the lead-in height. Then she drew the warning and sell lines parallel to the trendline, each separated by the lead-in height. She computed the target price to which the stock was likely to decline. From the current price of 30, the target price was 23, a decline of almost 25%. Even though she still liked the stock, such a large decline made her nervous.

She looked back through the chart price history and searched for support zones so she could better gauge the area where any decline might stop. The first support area was in the 23 to 24 zone, where a prior advance had paused. Interestingly, that was also the predicted target for the stock. If the stock fell below support, she noticed a second, more robust support area between 20 and 22.